you can have a much higher degree of confidence about the prospects for company performance than you can about the macro outlook. The type of trade in which you can get the confidence to take a big position and stay with it for years is therefore more likely to be company driven rather than macro driven.

Having said that, though, the macro outlook is still very important when making any given company investment decision. There are three things I like to see when I buy a stock: a favorable macro situation, a secular trend, and good company management. A good example of a trade with all three elements was our long position in the Russian mobile companies during 1999 to 2005, which was also one of the largest trades we ever had in Russia. The macro outlook was very favorable because the ruble had an 80 percent devaluation in 1998, which was coupled with a tremendous rebound in oil prices from their low of $12 in the same year. As a result of these two events, Russia went from an awful balance of payments deficit to an incredible balance of payments surplus. The resulting surge in foreign reserves led to a liquefaction of the Russian economy and the end of the nonpayments culture. People started getting paid real money. The resulting massive increase in purchasing power among ordinary people in Russia led to a strong secular trend supporting the trade: Mobile phone penetration was increasing annually by about 25 percent. Finally, I also liked the companies. They had good management teams who were happy to see you regularly. The companies were also transparent with very good accounting disclosure.

Why did you leave Barings?

Barings had a big marketing machine, and since I had outperformed the market by about 15 percent per year, the money was pouring into the fund like crazy. Having $2 billion in assets to invest in a tiny market, as East European equities were at the time, was insane. As investments into the fund increased, the negative impact of managing larger assets became more pronounced. I would have a good idea, put on about 25 percent of the position, and then the stock would run away because other people would hear what I was doing. It was just awful. I felt trapped. And I couldn’t close the fund to new investors. At the same time, I was frustrated by not having the ability to go short. I would frequently see